

MICROBUSINESS / CUSTOMER 10 OF 40

Loan agreement

Fictional test data. Non-operative specimen. Not for signature.

Violet Stitch Studio (Demo)

PRINCIPAL / USD	FIXED ANNUAL RATE	LOAN TERM
\$12,000	11.90%	24 months

01 Parties and borrower profile

Lender	Demo Harbor Lending Corporation (fictional)
Lender address	101 Example Finance Way, Demo Capital, Fictional Territory
Borrower	Violet Wynn, trading as Violet Stitch Studio (Demo) (fictional)
Borrower address	110 Example Enterprise Road, Demo District, Fictional Territory
Profile / legal form	2 employees; annual revenue \$120,000. Sole proprietorship. All profile figures are invented.
Agreement / funding date	15 Sep 2026

02 Commercial terms

Permitted purpose	Purchase sewing machines and fabric inventory.
Facility	Single-draw, fixed-rate, fully amortizing term loan in USD. No redraw.
Repayment frequency	24 monthly installments; interest and principal each period.
Regular installment	\$564.32 for installments 1 through 23.
Final installment	\$564.36; adjusted only for cent rounding.
First payment / maturity	15 Oct 2026 / 15 Sep 2028
Scheduled interest total	\$1,543.72
Scheduled repayment total	\$13,543.72 including principal and interest.
Fees / early repayment	No origination, service, late or prepayment fees. See clause 4.

Security, customer conditions and unsigned execution blocks appear on page 3. Annex A contains every scheduled payment. Totals assume timely payments and no prepayment.

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Terms and conditions

These specimen clauses accompany the commercial terms on page 1.

1. Commitment and funding. The lender is modeled as advancing \$12,000.00 in one payment on 15 Sep 2026. The borrower uses the advance only for the purpose stated on page 1. The model assumes all draw conditions are satisfied on that date. Repaid amounts cannot be borrowed again.

2. Interest calculation. The nominal annual interest rate is fixed at 11.90%. Each period, interest equals the opening principal balance multiplied by the annual rate divided by 12 for monthly payments. Interest is rounded to USD cents using half-up rounding. The model uses equal periods, not actual day counts. Overdue interest does not compound and no default-rate increase is modeled.

3. Scheduled payment obligations. The borrower makes monthly payments in the amounts and on the dates in Annex A. Payments apply first to the current scheduled interest, then to principal. The final installment clears the remaining principal and period interest. Due dates are used as printed without weekend or holiday adjustments. Annex A assumes no missed payments.

4. Fees and voluntary prepayment. No origination, servicing, late-payment, commitment or prepayment fee is included. The borrower may prepay on a scheduled due date after paying that date's scheduled installment. Any additional amount then reduces principal. Future interest applies only to the reduced balance; a revised schedule is required. No off-cycle prepayment calculation is modeled.

5. Information and undertakings. The borrower is modeled as having capacity or entity authorization, providing complete and accurate transaction information, and complying with the stated purpose. The borrower supplies the reporting listed on page 3, keeps contact details current, and promptly notifies the lender of material events that affect repayment or described collateral.

6. Default and cure. A payment default is modeled when a scheduled payment remains unpaid for 15 calendar days after its due date. A remediable breach of an obligation other than payment has a 30-calendar-day cure period after written notice. Material fraud, a knowingly false material statement, or formal insolvency is an immediate default in this specimen. A waiver must be in writing.

7. Modeled remedies. After an uncured default, the lender may issue written notice requesting immediate repayment of outstanding principal and unpaid scheduled interest. Collateral remedies would require separately valid security documents and applicable legal authority. This specimen creates neither. No collection costs, penalty interest, or interest after acceleration are calculated in this dataset.

8. Transfer and confidentiality. Either party needs the other party's written consent to transfer this modeled agreement. Transaction information is treated as confidential, except for disclosures to professional advisers, service providers under confidentiality duties, or disclosures required by applicable law. No actual personal or account information is included in this document.

9. Notices, changes and document order. Modeled notices go to the addresses or reserved-domain emails on pages 1 and 3. Amendments and waivers require written agreement. The commercial terms govern a general wording conflict; Annex A states payment amounts and dates. This document and its annex form one specimen. No external terms or missing attachments are incorporated.

10. Specimen status and jurisdiction. This is a fictional, non-operative sample for demonstration, training and document testing. It does not evidence a real debt, a funding commitment, a signature or a security interest. Governing law and dispute forum are intentionally not designated. No jurisdiction-specific consumer, mortgage, corporate or disclosure provisions have been selected.

Customer conditions

Borrower-specific provisions, notices and illustrative execution blocks.

Purpose and draw conditions

Modeled conditions are evidence of trading identity, proprietor or company authorization, a purchase budget, and supplier quotations for the financed assets or inventory. These conditions are assumed satisfied for schedule generation; no documents have actually been collected.

Business reporting and undertakings

Provide a sales, expense and cash summary within 30 days after each six-month period from funding, plus an annual business summary within 90 days after each funding anniversary. Maintain financed equipment and inventory records. Notify the lender before selling described equipment outside ordinary replacements. No financial-ratio covenant is modeled.

Security and guarantees

Modeled collateral: Sewing machines recorded in sample asset list DEMO-ASSET-010.

Maintain and reasonably insure any described financed equipment or property. Any real security would need a separate signed instrument, asset verification and the required legal formalities. The sample asset references above are descriptive identifiers, not incorporated attachments. No third-party guarantee, personal guarantee, lien priority or existing security is assumed.

Notice contacts

Lender contact	Avery Quinn, Sample Credit Officer servicing@demo-harbor.example
Borrower contact	Violet Wynn, Sole proprietor customer010@borrowers.example

All people and contact details are fictional. The .example addresses are reserved-domain demonstration contacts, not functioning payment or notice instructions.

Illustrative execution blocks

Deliberately unsigned. These blocks demonstrate where a real agreement would record authorized signatures; they do not indicate execution or acceptance.

FOR THE LENDER Demo Harbor Lending Corporation Name: Avery Quinn Title: Sample Credit Officer Signature: _____ Date: _____	FOR THE BORROWER Violet Stitch Studio (Demo) Name: Violet Wynn Title: Sole proprietor Signature: _____ Date: _____
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Annex A | Repayment schedule

USD | Monthly installments | Schedule page 1 of 1

Original principal **\$12,000.00** | Fixed nominal annual rate **11.90%** | Funding **15 Sep 2026**

No.	Due date	Payment	Interest	Principal	Closing balance
1	15 Oct 2026	\$564.32	\$119.00	\$445.32	\$11,554.68
2	15 Nov 2026	\$564.32	\$114.58	\$449.74	\$11,104.94
3	15 Dec 2026	\$564.32	\$110.12	\$454.20	\$10,650.74
4	15 Jan 2027	\$564.32	\$105.62	\$458.70	\$10,192.04
5	15 Feb 2027	\$564.32	\$101.07	\$463.25	\$9,728.79
6	15 Mar 2027	\$564.32	\$96.48	\$467.84	\$9,260.95
7	15 Apr 2027	\$564.32	\$91.84	\$472.48	\$8,788.47
8	15 May 2027	\$564.32	\$87.15	\$477.17	\$8,311.30
9	15 Jun 2027	\$564.32	\$82.42	\$481.90	\$7,829.40
10	15 Jul 2027	\$564.32	\$77.64	\$486.68	\$7,342.72
11	15 Aug 2027	\$564.32	\$72.82	\$491.50	\$6,851.22
12	15 Sep 2027	\$564.32	\$67.94	\$496.38	\$6,354.84
13	15 Oct 2027	\$564.32	\$63.02	\$501.30	\$5,853.54
14	15 Nov 2027	\$564.32	\$58.05	\$506.27	\$5,347.27
15	15 Dec 2027	\$564.32	\$53.03	\$511.29	\$4,835.98
16	15 Jan 2028	\$564.32	\$47.96	\$516.36	\$4,319.62
17	15 Feb 2028	\$564.32	\$42.84	\$521.48	\$3,798.14
18	15 Mar 2028	\$564.32	\$37.66	\$526.66	\$3,271.48
19	15 Apr 2028	\$564.32	\$32.44	\$531.88	\$2,739.60
20	15 May 2028	\$564.32	\$27.17	\$537.15	\$2,202.45
21	15 Jun 2028	\$564.32	\$21.84	\$542.48	\$1,659.97
22	15 Jul 2028	\$564.32	\$16.46	\$547.86	\$1,112.11
23	15 Aug 2028	\$564.32	\$11.03	\$553.29	\$558.82
24	15 Sep 2028	\$564.36	\$5.54	\$558.82	\$0.00

Full-loan totals: Principal \$12,000.00 | Interest \$1,543.72 | Payments \$13,543.72

Closing balance after the final payment: **\$0.00**. Final payment includes any cent-rounding adjustment. No fees or additional balloon payment are included.